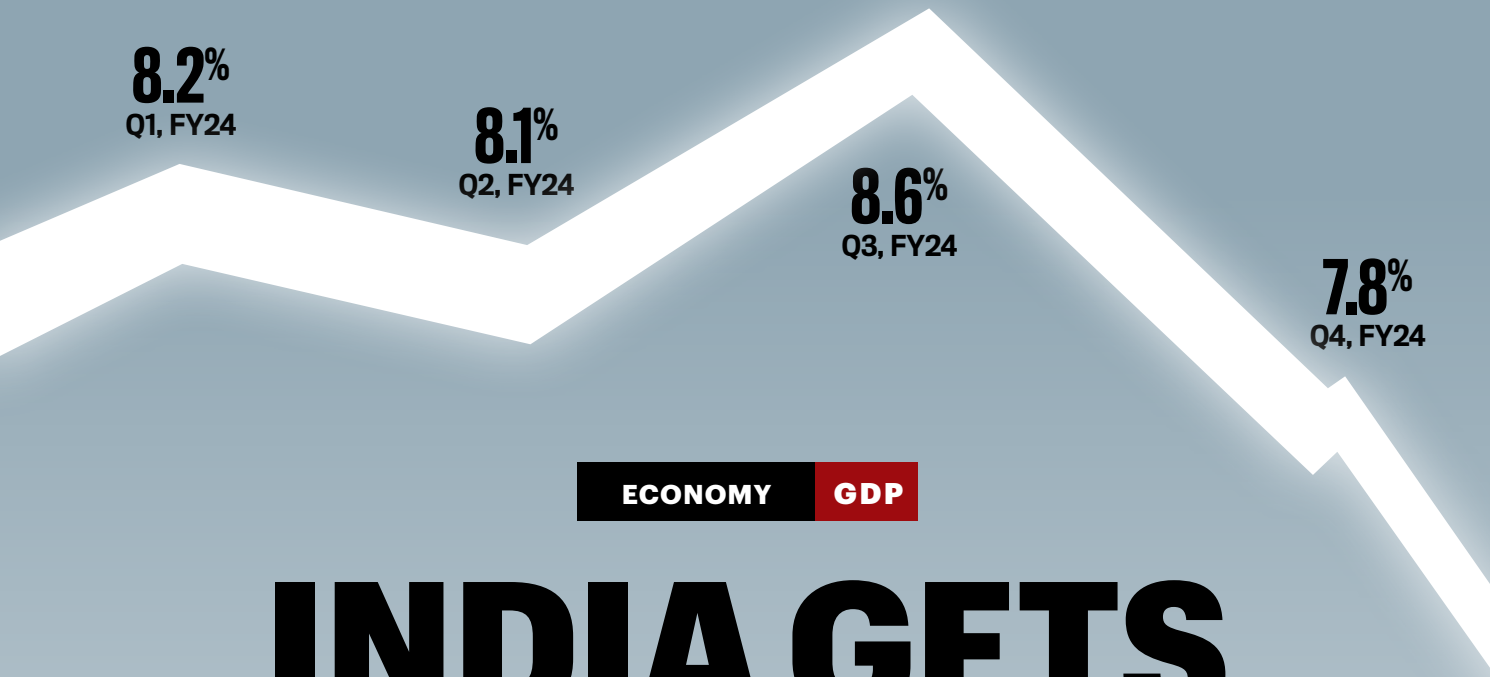


ECONOMY | GDP

INDIA GETS A GROWTH SHOCK

THE COUNTRY'S GDP HAS HIT ITS LOWEST POINT IN NEARLY TWO YEARS, INTENSIFYING THE GOVERNMENT'S CHALLENGE TO TACKLE THE ONGOING UNEMPLOYMENT CRISIS

By **M.G. Arun**

When he took over the reins of the government for a third consecutive term this summer, there were two key issues PM Narendra Modi had to address urgently—inflation and unemployment. They are believed to have cost his government a majority in the Lok Sabha election. However, five months into Modi 3.0, a third challenge seems to have surfaced—slowing economic growth—threatening to worsen the unemployment crisis.

India's gross domestic product (GDP) growth for the second quarter of FY25 was 5.4 per cent, down from 6.7 per cent in the first quarter and way below the 8.1 per cent in the second quarter of the previous fiscal. In fact, growth was the lowest in nearly two years. The weak performance in the second quarter could now drag India's full-year growth below expectations, including Reserve Bank of India (RBI) estimates. Goldman Sachs has revised its FY25 growth projection from 6.5 per cent to 6 per cent, Barclays from 6.8 per cent to 6.5 per cent, ICRA from 7 per cent to 6.5-6.7 per cent and Bank of Baroda from 7.3-7.4 per cent to 6.6-6.8 per cent—all estimates that fall short of the RBI's 7 per cent projection. It could mean a setback for the Modi government's ambitions to have India, currently the

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